



Property Bottom in Sight

- China's property downturn appears to be entering its late stage, with several indicators suggesting that a durable bottom may be approaching, rather than another brief policy-driven rebound. The correction has now lasted about as long, and become about as deep, as typical housing downturns in other economies.
- What makes the current rebound different, in our view, is that it is not primarily being driven by broad macro stimulus. Instead, it reflects improving underlying market dynamics: in key cities, transaction volumes are rising while secondary listings are falling. What we have yet to observe is steady improvement in rents, which could happen this year in large cities.
- Looking ahead, we expect recovery in China's property sector to be gradual, led by top-tier and economically competitive cities rather than being broad-based nationwide. If the property sector does stabilize over the next 1-2 years, it could help China move from the current narrow, K-shaped recovery toward a broader macro expansion by improving household confidence, local government finances, and demand in more traditional parts of the economy.

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Where are we in China's property downturn? Three aspects

Over the past few months, China's housing market has shown tentative signs of stabilization — particularly in the secondary market across Tier-1 and select Tier-2 cities. Shanghai has led the way: transaction volumes have risen markedly, and prices in certain segments have stopped falling, even ticking higher. The question is whether this rebound marks the beginning of the end of China's property downturn, or merely another false dawn.

We approach this question along three dimensions. First, we benchmark China's downturn against international experience — has it run far enough and long enough? Second, we compare the current recovery with the two prior false starts (early 2023 and late 2024) to identify what is different this time. Third, we draw on Hong Kong's recent property recovery to extract lessons for mainland China, particularly its core cities.

1. The downturn has run its course

Our earlier work suggests that, across major economies, the median housing downturn — from peak to trough — lasts roughly five years, with a typical range of four to seven. The median peak-to-trough price decline is around 20%.

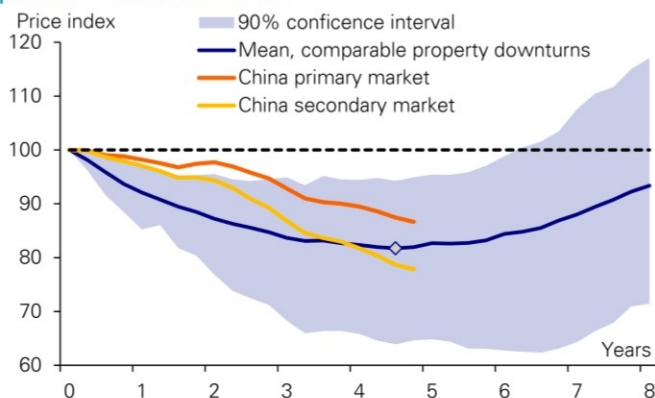
China's current downcycle, which began when prices peaked in H1 2021, has just exceeded the five-year mark. On duration alone, it is approaching the global median. On the depth of the correction, official statistics point to a cumulative price decline of roughly 14% for new homes and 22% for secondary homes, while anecdotal measures place the fall closer to 30% in many cities. By either metric, China's downturn has become broadly comparable to international precedents.

China is not Japan. Some observers instinctively reach for the Japan analogy — a housing downturn that stretched across a decade and a half. We think this is the wrong reference point. Japan's "lost decades" began when its global



competitiveness had peaked and was being steadily eroded by latecomer economies. The past five years in China tell the opposite story: rising competitiveness and expanding global market share. This is the most fundamental difference between the two economies at the onset of their respective housing downturns. We therefore anchor our analysis to the broader international experience, not to Japan as a base case.

Figure 1: China's property downturn is comparable with those in other countries



Source: Deutsche Bank Research, BIS. Based 40 prolonged (3 years or longer) property downturns in different countries since 1980.

Figure 2: Various property sector indicators are showing early signs of bottoming



Source: Deutsche Bank Research, NBS

2. This time is different from previous short-lived rebounds

In both early 2023 (post-reopening) and late 2024 to early 2025, the Chinese property market saw short-lived rebounds in transaction volumes and prices, only for both to fade within a few months. Are we witnessing another false signal? We think the current recovery departs from those episodes in two important ways:

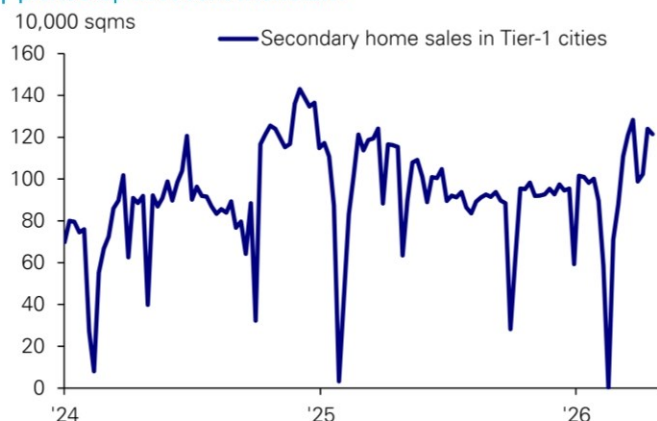
1. **A different driver.** The two prior rebounds were predominantly policy-driven. By that, we do not mean only property-sector policies such as cuts to down-payment requirements and mortgage rates, as well as the removal of purchase restrictions; more importantly, the 2023 rebound happened after China's post-COVID reopening, and the late-2024 rebound happened after a comprehensive stimulus package. These policies unleashed a burst of one-off demand, but once the policy impulse faded, prices resumed their decline. This time, however, although some property policy adjustments are present, we did not see any significant change in broader macroeconomic policy.
2. **A different feedback loop.** In both previous rebounds, a familiar pattern played out: as soon as transaction volumes picked up, the supply of second-hand listings surged, quickly tipping the supply-demand balance back and suppressing the nascent recovery. This time, in Tier-1 cities, the opposite is happening — secondary-market transaction volumes are rising even as the stock of listings is falling. The negative feedback loop that killed the earlier recoveries has, at least so far, not materialized.

This latter point is particularly important. In the five to ten years preceding the downturn, China's housing market saw enormous transaction volumes, a substantial share of which reflected households using property as a savings and investment vehicle. Once the cycle turned, household portfolio preferences shifted sharply: owners of investment properties rushed to offload their holdings. This means the current downturn has been not just a process of absorbing new-home inventory but also, and perhaps more importantly, of digesting the overhang of



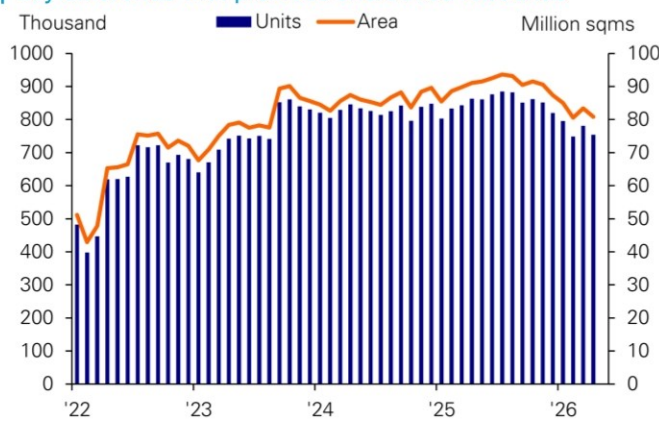
second-hand stock. The sustained decline in secondary-market listings across Tier-1 cities may signal that this inventory digestion is approaching its end.

Figure 3: As secondary transactions in Tier 1 cities picked up in recent months...



Source: Deutsche Bank Research, CREIS

Figure 4: ...Secondary listings in have fallen, marking a key difference with previous short-lived rebounds



Source: Deutsche Bank Research, CREIS

3. Population and rents, not policy and rates

Hong Kong's property recovery can serve as a useful reference point for assessing mainland China's housing sector. Hong Kong's property market bottomed in Q2 2025 and has since staged a robust recovery: prices are up roughly 10% from the trough, transaction volumes are buoyant, and new-home sales have been strong enough to create pockets of undersupply.

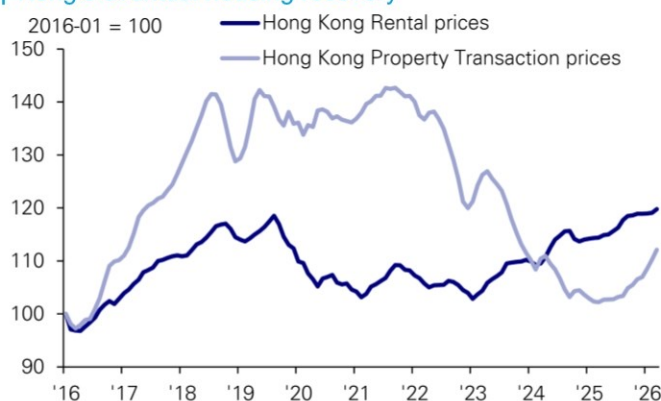
Policy easing and interest rates are not the main driver. We found the prevailing narrative—that it was driven by the Hong Kong government's full withdrawal of all restrictive property measures and the decline in U.S. dollar interest rates—to be incomplete. The Hong Kong government removed all restrictions in February 2024, but the price trough and the rebound in transactions did not arrive until July 2025—a full 18 months later. On interest rates, note that Hong Kong's mortgage market operates with an effective rate cap that kept mortgage rates around 3.5% when the Fed policy rate was elevated. The decline in U.S. rates did not, in practice, materially reduce the mortgage burden for Hong Kong households.

So what drove Hong Kong's recovery? We think two factors were decisive: first, the improvement in Hong Kong's own economic environment. Talent-attraction policies brought population growth back into positive territory. The equity market, which had been in decline for several years, found a floor in 2024. The rally that followed restored investor confidence, brought companies back to Hong Kong for IPOs and refinancing, and lifted the broader economy. **Second, rents recovered before property prices.** The most fundamental channel through which population inflows and economic recovery affect the property market is the rental market. Hong Kong rents stopped falling in early 2023 after declining for more than three years. By 2025, rents had almost fully recovered to 2018–19 levels. The steady increase in rents gives homebuyers confidence in future rental yields.

2025 marked a turning point in China's economy; 2026 could mark the turning point for rents, at least in top-tier cities. Latest data suggest rents have stabilized and started to rebound in the four Tier 1 cities—the cities in China that continue to attract population inflows.

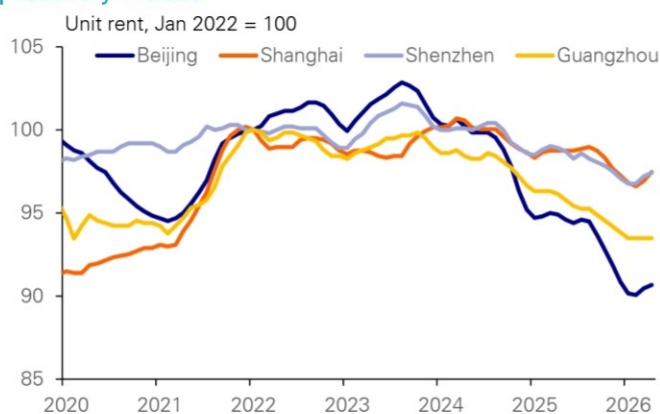


Figure 5: Steady rise in rents is a key driver for Hong Kong's eventual housing recovery



Source: Deutsche Bank Research, Haver Analytics

Figure 6: China's Tier 1 cities could see rents bottom and recovery in 2026



Source: Deutsche Bank Research, CREIS

What to Expect Going Forward

Drawing these three threads together, we reach the following conclusions about China's property market.

1. The bottom is on the horizon: watch secondary listings and rents

First, the property downturn is likely not far from its end. Both the depth of the correction and its duration are now within the range of international comparables. Even if the exact trough still needs to be confirmed, a turn within the next one to two years (before end-2027) appears probable.

While it is difficult to predict the exact turning point, two leading indicators deserve close attention. We suggest monitoring two variables to assess whether the recovery is sustainable:

1. **Secondary market listings.** If transaction volumes continue to expand while the stock of secondary-market listings continues to shrink, it would indicate that supply and demand are rebalancing and that the market has finally absorbed the excess housing supply built up during the boom years. This will be a necessary condition for sustained price increases in the future.
2. **Residential rental trends in major cities.** A steady increase in rents will be a key signal for an eventual housing market rebound. To be clear, **we disagree with the popular view that rental yield needs to exceed mortgage rates before housing prices can recover.** In fact, a high rental yield should be considered a negative signal, as it would imply that the market expects rents and property prices to keep falling in the coming years. This can be easily understood through an analogy with equities: for stock (property) prices to rise, the key is to observe steady growth in earnings (rents), which would then justify a higher price-to-earnings ratio (a lower rental yield). A low P/E ratio (high rental yield) by itself is never a good justification for future price performance.

2. Property sector recovery will likely lag broader economic recovery

We expect property recovery to lag the broader economic recovery. Over the past decade or so, amidst high economic growth, accelerated urbanization, and increasingly stringent restrictive policies, the real estate sector once served as a counter-cyclical tool, leading economic recoveries. Considering the shift in both economic development stages and policy intentions, the real estate industry can no



longer function as a counter-cyclical stabilizer; instead, it has progressively become an amplifier of economic trends. Should the real estate sector experience another resurgence within the next year or two, this recovery ought to be viewed as a consequence of broader economic recovery, rather than its cause.

The eventual recovery will likely be region-specific rather than broad-based.

A city's economic performance and population dynamics will become the decisive factors for its property market. Recovery will emerge first in select Tier-1 cities and economically vibrant Tier-2 cities. Conversely, many cities and regions experiencing sustained population outflows and lacking competitive economic structures may not see a property market recovery for a considerable period.

3. Growth transmission will likely be gradual, but key for a broad-based recovery

The transmission will be slow and gradual, and its contribution to GDP growth will turn positive only gradually.

The recovery will start in select cities and take time to become a national phenomenon. It will also take time to transmit from the secondary market to the primary market and new housing investment, considering that most privately owned developers have either exited the market or lost the capacity to expand rapidly during the next housing recovery. The remaining large players, mostly state-owned developers, tend to move cautiously in response to a recovery.

Even as Tier-1 secondary-market volumes have picked up this year, new home sales in those same cities have yet to stop contracting. Nationwide land-sale revenue remains deeply negative year-on-year, and the drag on local government finances persists. The diffusion — from a few cities to many, from second-hand to new homes, and from sales to investment — is likely to be slow.

Property recovery will be the bridge from China's K-shaped to a broad-based recovery.

China's economy today exhibits a K-shaped pattern. On one side, new-economy sectors — AI, renewables, electric vehicles, energy storage — are experiencing surging activity, strong external demand, rising prices, and improving corporate earnings. This is the upward leg of the K-shaped recovery. On the other side, traditional sectors — infrastructure investment, household consumption — are growing at a subdued pace, constraining the breadth of the macro recovery.

Critically, the “new economy” is growing larger but still narrow-based. Most of the Chinese labor force is still employed by the “old economy”; government revenue is also more closely linked to the traditional sectors, most notably land sales; and Chinese households' investment in housing far exceeds their investment in those high-tech stocks.

If the property market can find a floor and shift from being a drag on the economy to being a contributor to the recovery, we could see China transition from an uneven K-shaped recovery to a more balanced, broad-based expansion. That would represent a critical turning point — not just for the property sector, but for the entire economy and, most importantly, for consumer confidence.



Appendix 1

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The method for computing individual E,S,G and composite ESG scores set forth herein is a novel method developed by the Research department within Deutsche Bank AG, computed using a systematic approach without human intervention. Different data providers, market sectors and geographies approach ESG analysis and incorporate the findings in a variety of ways. As such, the ESG scores referred to herein may differ from equivalent ratings developed and implemented by other ESG data providers in the market and may also differ from equivalent ratings developed and implemented by other divisions within the Deutsche Bank Group. Such ESG scores also differ from other ratings and rankings that have historically been applied in research reports published by Deutsche Bank AG. Further, such ESG scores do not represent a formal or official view of Deutsche Bank AG.

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